

**FORM TP 2011026**

JANUARY 2011

CARIBBEAN EXAMINATIONS COUNCIL**SECONDARY EDUCATION CERTIFICATE
EXAMINATION****PRINCIPLES OF ACCOUNTS****Paper 03/2 – General Proficiency***1 $\frac{1}{2}$ hours***06 JANUARY 2011 (p.m.)**

1. Answer ALL questions.
2. Answer the questions in the answer booklet provided and return it.
3. Start each answer on a new page.
4. Silent electronic calculators may be used, but ALL necessary working should be clearly shown.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

INSTRUCTIONS: This paper consists of a case study and TWELVE questions. Read the case and answer ALL the questions that follow.

CASE STUDY

On January 4, 2010, Kent Babolal started a trucking business in his community. He bought three trucks at a total cost of \$450 000 and a warehouse valued at \$175 000. Kent deposited \$300 000 into the business bank account and he kept \$75 000 in cash for use in the business.

1. What type of business entity does Kent Babolal operate? (1 mark)
2. Prepare the opening journal entry for the business.
(Narrative is not required) (7 marks)

After one week of operation, Kent realized that there was great demand for trucking services. On January 11, 2010, Kent bought two additional trucks from L.L. Trucking Company at a total cost of \$400 000. Kent obtained a five-year loan of \$250 000 from Caribbean Republic Bank and made the balance of the payment from his bank account.

3. Show the journal entry to record the purchase of the two additional trucks.
(Narrative is not required.) (3 marks)
4. Identify the heading in the Balance Sheet under which the amount owing to the bank would be recorded. (1 mark)
5. Name the ledger in which the purchase of the trucks would be recorded. (1 mark)

Three trucks, A, B and C, are rented out five days per week. For Truck A and Truck B, Kent charges renters a constant rate of \$10 per kilometre. Truck C is hired out to a single contractor. Kent charges the contractor \$10 per kilometre for the first 2 500 kilometres and \$8 per kilometer thereafter.

During the first three months of operation, the three trucks travelled the following distances:

Truck	A	B	C
Distance (km)	2 000	2 750	4 500

6. Calculate the total revenue earned by Trucks A, B and C for the first three months. (5 marks)

The other two trucks, D and E, are used for the delivery of goods mainly for individuals and small businesses. Total earnings from delivery services for the first three months was \$36 000; \$16 000 from Truck D and \$20 000 from Truck E.

The following costs were incurred in operating the business for the first three months:

Fuel at \$1 per kilometre for 3 trucks: A, B and C
Services and repairs for the period \$5 000
Insurance and road licence per annum \$120 000
Salaries: Two drivers of Trucks D and E at \$3 500 per month
Commission to drivers: 1% on deliveries earnings

Depreciation of the trucks was calculated at a rate of 10% per annum on the straight line basis.

7. Identify TWO 'books of original entry' that Kent is **LIKELY** to use in his business. **(2 marks)**
8. Calculate the amounts for **EACH** of the following expenses for the three-month period:
 - (a) Fuel
 - (b) Insurance and road licence
 - (c) Drivers' salaries
 - (d) Commission to drivers
 - (e) Depreciation on the five trucks **(5 marks)**
9. Calculate the Gross Pay for the driver of Truck E for the three-month period. **(2 marks)**
10. Prepare the Income Statement for Kent Babolal for the three-month period. **(7 marks)**
11. Identify **ONE** revenue expenditure and **ONE** capital expenditure made by Kent Babolal in the three months of operation. **(2 marks)**
12.
 - (a) Calculate the net profit percentage for the business. **(2 marks)**
 - (b) Calculate the return on capital employed. **(Show all working clearly.) (2 marks)**

Total 40 marks

END OF TEST